CENTRUM

Axiscades

Emerging player in ER&D segment

AXISCADES Technologies operates as an engineering solutions company in the United States, the United Kingdom, Canada, Germany, India, and China. The company offers product design and definition solutions, including CAD modelling, detailing, packaging considerations, and DFM/DFx/FMEA studies; engineering analysis and certification; embedded systems and electronics solutions, such as firmware development, hardware engineering, software development for applications and mobile apps, and verification and validation; systems Installation services comprising harness layout design and installation, system integration, and validation; product sustenance services comprising defect management, cost optimisation/value engineering, localization, legacy conversion, and obsolescence management; and PLM implementation, integration, operations, consulting, and updation and migration solutions; and manufacturing engineering solutions comprising virtual manufacturing, facility layout design, tool and mold design, NC/CNC programming, process planning, and production. It also provides digital solutions, such as enterprise systems integration, new age manufacturing systems integration, data analytics, application development, and industrial stimulation; after sales product support services comprising platform migration assistance, technical publication, reverse engineering, and engineering change requests/orders; test solutions; and electrical wiring and interconnection systems. In addition, the company offers integration services for defense and offsets businesses. It serves aerospace, defense and homeland security, automotive, heavy engineering, energy, semiconductor, and medical and healthcare sectors. The company was formerly known as AXISCADES Engineering Technologies Limited and changed its name to AXISCADES Technologies Limited in November 2020. The company was incorporated in 1990 and is headquartered in Bengaluru, India

It operates in 6 industry segments

- **Aerospace:** It includes Design & Analysis - Primary & Secondary Structures, Aircraft Interiors; MSI and ESI, Electrical harness; Manufacturing Engineering; In-Service support - Repairs
- **Automotive:** It includes Design, Analysis; BIW/CIW; Interior & Exterior; Engines, Powertrain; Cost Optimization & Localization
- **Defense & Homeland Security:** It includes Avionics, Radar/EW, C4I2; Automated Test Solutions; Simulators, UAVs; GSE/GHE; System Integration; Offset Management
- **Energy:** It includes Design, Analysis - Tower, Generator, Hub, Spinner, Nacelle, Yaw, Blade; Mechanical & Electrical Routing; Wind Resource Analysis; Advanced FE Simulations
- **Semiconductors**: It includes Silicon validation; Branded chipsets with the likes of Texas Instruments, Qualcomm etc.; Product Sustenance
- **Heavy Engineering:** It includes Structures, Cabin Design; Engine, Powertrain; Electrical, Lube, Hydraulic systems Design; Digital Manufacturing

Financial summary

(Rs mn)	FY20	FY21	FY22	FY23	FY24
Revenue	6,729	5,239	6,103	8,217	9,558
Revenue growth(%)		-22.1%	16.5%	34.6%	16.3%
EBITDA	916	640	706	1,419	1,339
EBITDA margin	13.6%	12.2%	11.6%	17.3%	14.0%
PAT	297	-220	223	-50	327
PAT Margin	4.4%	-4.2%	3.6%	-0.6%	3.4%

Source: Company, Centrum Broking

Flash Note

India I Information Technology

30 June 2024

Nifty 50: 24,011

BSE Sensex: 79,033

Institutional Research

Shareholding pattern

	Mar-24	Dec-23	Sep-23	Jun-23
Promoter	60.3	65.7	65.7	66.2
FIIs	0.4	0.3	0.1	0.1
DIIs	8.6	0.2	0.0	0.0
Public/other	30.7	33.8	34.2	33.7

Source: BSE

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Information Technology

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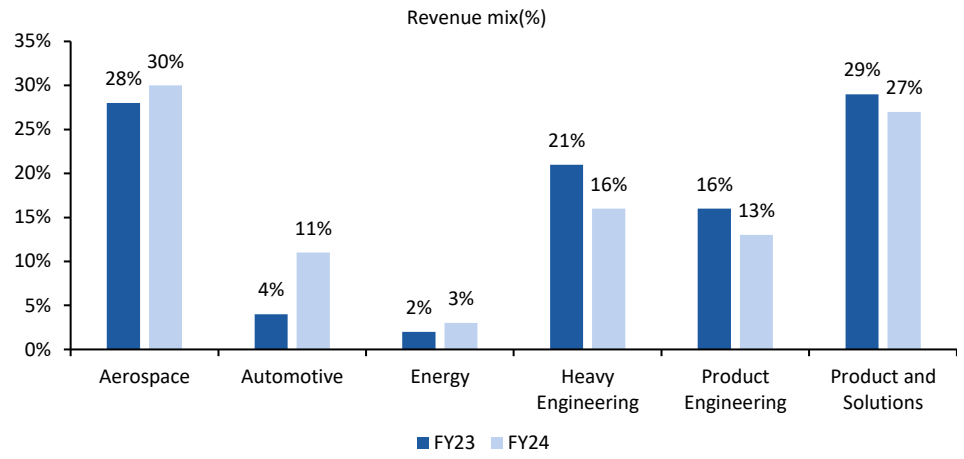
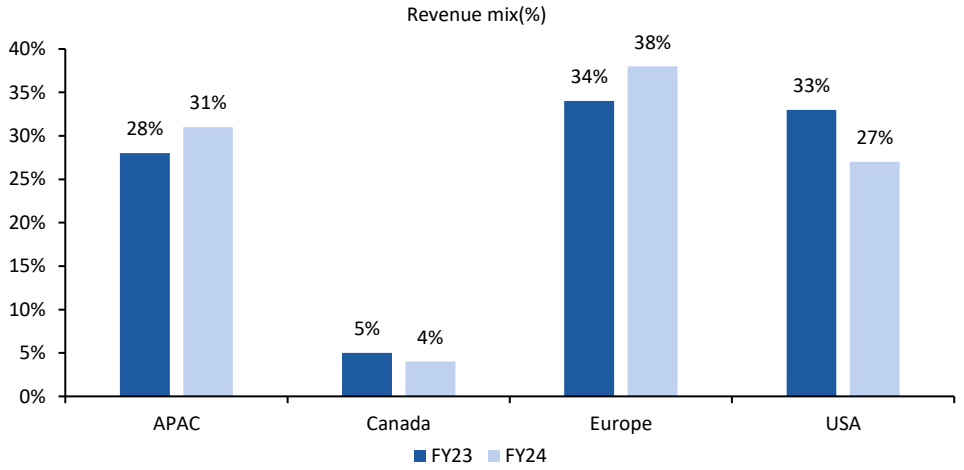
Story in Charts

Exhibit 1: Aerospace segment is key contributor to revenue



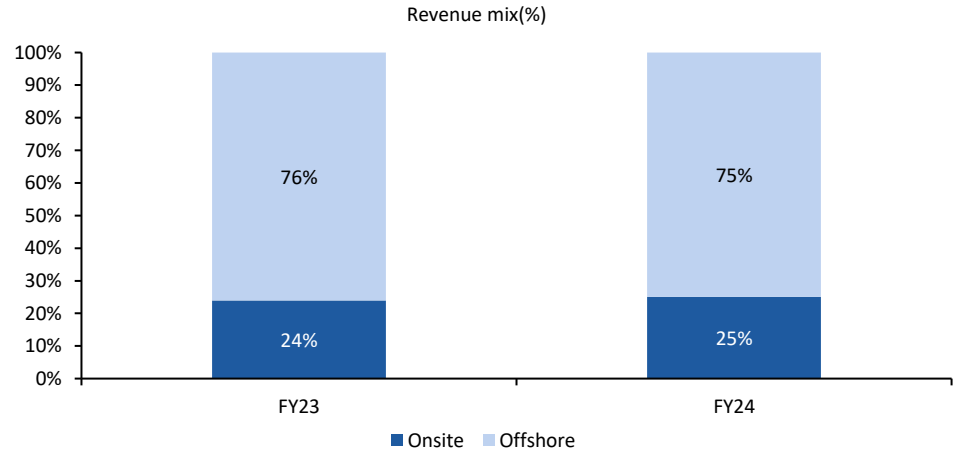
Source: Company Data, Centrum Broking

Exhibit 2: Diversified revenue mix



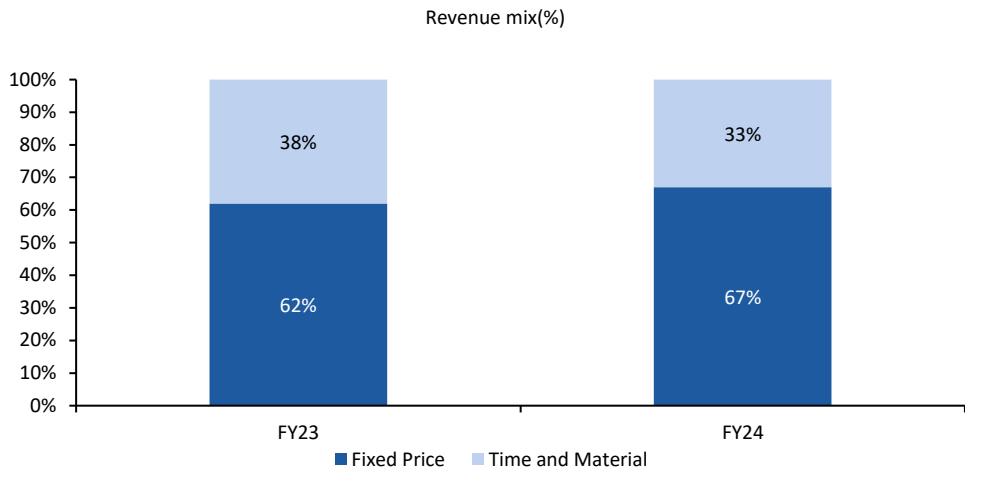
Source: Company Data, Centrum Broking

Exhibit 3: High offshore revenue mix for the company



Source: Company Data, Centrum Broking

Exhibit 4: Fixed price contracts have been rising by revenue mix



Source: Company Data, Centrum Broking

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